BEFORE AND AFTER YOU'RE GONE

For one of our focus group interviews, we asked a recruiter to supply us with eight to ten millionaires for the three-hour session. All were supposed to be PAWs and to have a minimum of $3 million in net worth. We also instructed our recruiter that the millionaires had to be sixty-five years old or older. Each was to receive $200 for participating.

Two days before the interview, nine millionaires had been recruited. But on the morning of the interview, our recruiter telephoned to tell us that one of them would not be able to participate. The recruiter said that she would likely be able to find a substitute. Just an hour before the interview, the recruiter telephoned us again to say she had found a sixty-two-year-old recruit. He was a business owner with a high income, but he did not fit the strict definition of a PAW. Nevertheless, we agreed to include him. The decision proved fortuitous.

The substitute respondent, "Mr. Andrews," was not told beforehand that the other respondents were affluent. Perhaps that was why he took the lead in bragging about how he was "very well-off financially." In reality, Mr. Andrews had a high income but a relatively small net worth. He was a classic UAW who looked and acted the part. He wore gold bracelets on each wrist and had an expensive-looking diamond-encrusted watch and several rings. When Mr. Andrews began telling the group his story, he exuded confidence. But after three hours of talking with eight wiser men, his demeanor changed. His confidence seemed to deteriorate as the interview progressed. We believe Mr. Andrews learned some important lessons that day about financial planning and the intergenerational distribution of wealth.

Mr. Andrews told us that he was already well-off and had already achieved his financial goals. But when questioned, he could not articulate his goals. A major part of his plan was to earn a high income. He always assumed that "most of the other parts" of his financial plan would "take care of themselves." We have interviewed many UAWs like Mr. Andrews. No matter how we ask them about their financial goals, their responses are predictable: